

24VECV00313 24VECV00313

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Case Number: 24VECV00313 Hearing Date: August 4, 2026 Dept: O

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

JASON WEEKS,

Plaintiff,

vs.

PURE IMAGINATION HOLDINGS, LLC, a
Delaware limited liability company; PURE IMAGINATION STUDIOS INC., a Delaware
corporation; PURE IMAGINATION LABS, LLC, a Delaware limited liability
company; THE BRIDGE XRC, LLC, a Delaware limited liability company; JOSHUA
WEXLER, an individual; and DOES 1 THROUGH 50, INCLUSIVE.

Defendants.

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CASE NO.: 24VECV00313

ORDER

GRANTING DEFENDANTS' MOTION FOR SUMMARY JUDGMENT

I.

BACKGROUND

Plaintiff Jason Weeks

("Plaintiff") brings this breach of contract action against Pure Imagination Holdings, LLC ("Pure Holdings"); Pure Imagination Studios Inc. ("Pure Studios"); Pure Imagination Labs, LLC ("Pure Labs"); The Bridge XRC, LLC ("Bridge"); and Joshua Wexler ("Wexler") (collectively "Defendants"). Plaintiff alleges Wexler is the Chief Executive Officer of Pure Holdings, Pure Studios, Pure Labs, and Bridge. Plaintiff alleges Defendants asked Plaintiff to step into the role of Vice President of Technology, and communicated to him that he would have increased pay and a stake in Pure Holdings. Plaintiff alleges Defendants have not conferred any right or benefit due unto Plaintiff as a stakeholding member of Pure Holdings or compensated him for his stake in Pure Holdings.

Defendants move for

summary judgment, or in the alternative, summary adjudication.

II.

PROCEDURAL

HISTORY

On January

23, 2024, Plaintiff filed a Complaint.

On August 16,

2024, the Court overruled Defendants' Demurrer to the first, fifth, and seventh causes of action. The Court sustained with leave to amend Defendants' Demurrer to the second, third, fourth, sixth causes of action. The Court granted Defendants' Motion to Strike as to Plaintiff's prayer for relief for attorney's fees.

On September

20, 2024, Plaintiff filed a First Amended Complaint.

On January

30, 2025, the Court corrected nunc pro tunc the January 28, 2025, Order to state the Court overruled Defendants' Demurrer. The Court granted Defendants' Motion to Strike as to Plaintiff's prayer for relief for attorney's fees.

On February

21, 2025, Plaintiff filed a Second Amended complaint ("SAC") alleging (1) Breach Of Contract; (2) Actionable Deceit – Civil Code § 1709; (3) Fraud In Contract Formation – Civil Code § 1572; (4) Intentional Misrepresentation– Civil Code § 1710 5. Breach of Covenant of Good Faith and Fair Dealing; (6) Unjust Enrichment/Restitution; and (7) Reasonable Attorney's Fees as Per Labor Code § 2802.

On April 8,

2025, Defendants filed separate Answers.

On May 15,

2026, Defendants filed the instant Motion.

As of July 31,

2026, no Opposition has been filed.

III.

LEGAL STANDARD

The function

of a motion for summary judgment or summary adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (See *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843.) In analyzing such motions, courts must apply a three-step analysis: "(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue." (*Hinesley v. Oakshade Town Center* (2005) 135 Cal.App.4th 289, 294.) Thus, summary judgment is granted when, after the Court's consideration of the evidence set forth in the papers and all reasonable inferences accordingly, no triable issues of fact exist, and the moving party is entitled to judgment as a matter of law. (See Code Civ. Proc. § 437c(c);[1] *Villa v. McFarren* (1995) 35 Cal.App.4th 733, 741.)

"On a motion

for summary judgment, the initial burden is always on the moving party to make

a prima facie showing that there are no triable issues of material fact.” (Scalf v. D.B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519.) As to each claim as framed by the complaint, a defendant moving for summary judgment must satisfy the initial burden of proof by presenting facts to negate or establish an essential element. (See Scalf v. D.B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1520.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.) A motion for summary judgment must be denied where the moving party’s evidence does not prove all material facts, even in the absence of any opposition. (See Leyva v. Superior Court (1985) 164 Cal.App.3d 462, 475; Salesguevara v. Wyeth Labs., Inc. (1990) 222 Cal.App.3d 379, 384.)

Once the moving party has met its burden, the burden shifts to the opposing party to show via specific facts that a triable issue of material fact exists to a cause of action or a defense thereto. (See Code Civ. Proc. § 437c(o)(2).)

IV.

ANALYSIS

A.

Moving Defendants’ Undisputed Material Facts

Pure Holdings

is a Delaware LLC and the parent company of Pure Studios (a Delaware corporation), Pure Labs, LLC (a Delaware LLC), and The Bridge (terminated May 14, 2021). (See Defs.’ Sep. Stmt. of Undisputed Material Facts (“UMF”), Nos. 1-5, 8-10.) Wexler is Chief Executive Officer (“CEO”) of Pure Holdings and Pure Studios. (See id., No. 6.) Pure Holdings’ internal affairs—including the transfer of equity—are governed by its Operating Agreement and Delaware law. (See id., No. 7.)

From its formation, Pure Holdings’ Operating Agreement has required the Board of Managers’ approval for any issuance or transfer of equity. The original 2017 Limited Liability Company Agreement (the “2017 Operating Agreement”) established a Board of Managers and prohibited any transfer of Units without Board approval. (See id., No. 11.) Under the 2017 Operating Agreement,

no single Manager had the power or authority to bind the Company to an equity issuance absent Board authorization. (See id., No. 12.) In 2019, Barzan US2, LLC (“Barzan”) purchased an ownership stake in PI Holdings, resulting in a new Operating Agreement (the “Operating Agreement”), which superseded the 2017 Operating Agreement. (See id., No. 13.) The Operating Agreement established a Board of Managers of five individuals and required the appointment of a Barzan Manager. (See id., No. 14.)

The Operating

Agreement imposes strict conditions on any issuance or transfer of equity in PI Holdings. The Agreement defines “Transfer” broadly to include “any contract for the foregoing,” encompassing oral or preliminary equity promises within its transfer-restriction regime. (See id., No. 15.) Section 8.1(a) prohibits any Member from “Transfer[ing], or offer[ing] to Transfer” Units “without the approval of the Board,” and provides that “any attempt” to do so “shall be null and void and of no effect whatsoever.” (See id., No. 16.) Under § 6.5, “no ... single Manager shall have any power or authority to bind the Company unless ... authorized by the Board.” (See id., No. 17.) The Board may act only at a duly convened meeting with quorum or by written consent—no oral Board action is authorized. A quorum requires at least three Managers. (See id., No. 18.) And finally, no transfer is effective unless the recipient executes written instruments accepting the Operating Agreement’s terms. (See id., No. 19.) Under § 6.8, equity for employees may only be issued pursuant to an incentive arrangement with terms “approved by the Board.” (See id., No. 20.) Under the Operating Agreement, any purported equity transfer that fails to comply with these requirements is “null and void ab initio.” (See id., No. 21.) Wexler attests that he did not intend to issue membership units in Pure Labs to any employee, including Plaintiff. (See id., No. 24.)

Plaintiff

began employment with Pure Studios on October 19, 2020, as a Senior Gameplay Developer at an annual salary of \$170,000. (See id., No. 25.) At no time during Plaintiff’s employment did he enter into a written employment agreement guaranteeing a specified term, a particular salary, or any form of equity compensation. (See id., No. 27.) In September 2021, after Pure Studios’ Chief Experience Officer Rob Taylor resigned, Wexler spoke with Plaintiff about assuming Taylor’s technology duties with the title of Vice President of Technology (the “September 2021 Meeting”). (See id., No. 28.) Plaintiff alleges that during this meeting, he was promised an equity stake in one of the

Defendant entities. (See id., No. 29.) But Plaintiff admits that no specific equity percentage was discussed (see id., No. 30), no specific entity was identified (see id., No. 31), no material terms were agreed upon (see id., Nos. 32-35), no Board approval was sought or received (see id., No. 36), no equity could be transferred without signed documentation (see id., No. 38), no vesting schedule was discussed (see id., No. 33), no timeline as to when the equity would be provided was promised or discussed (see id., No. 39), and no document was executed memorializing the alleged promise (see id., No. 40). Plaintiff himself described the conversation as a “handshake” deal (see id., No. 41) and acknowledged it was “an agreement that [they] would enter into an agreement in the future.” (See id., No. 42.)

Wexler

attests that, at no time during Plaintiff’s employment or at any time thereafter has (a) the Board approved the issuance of membership units to Plaintiff, (b) any Board resolution passed related to the issuance of membership units to Plaintiff, (c) written consent been obtained related to the issuance of membership units to Plaintiff, or (d) any written instrument granting Plaintiff an interest in PI Holdings been executed. (See id., No. 46.) No quorum of at least three Managers was present at the September 2021 Meeting. (See id., No. 47.)

The only

documents Plaintiff signed during his employment were two Confidentiality and Intellectual Property Rights Agreements (October 2020 and September 16, 2021), and neither mentions equity or a salary increase. (See id., No. 48.) Plaintiff testified no notes were taken at the September 2021 Meeting and he did not send or receive any follow-up email or written correspondence regarding the alleged equity promise at any time during his employment. (See id., No. 49.) Plaintiff asked Tucker, the only other person allegedly present during the September 2021 Meeting, to sign a statement to corroborate Plaintiff’s account of the September 2021 Meeting. Tucker declined to do so and subsequently passed away. (See id., Nos. 50–53.)

Plaintiff

received his full \$170,000 base salary throughout his employment, was never demoted, and his salary was never reduced. (See id., Nos. 54–56.) In December 2021, Wexler approved a discretionary bonus of \$28,400 for Plaintiff’s assumption of the VP role. (See id., No. 57.) During the September 2021

Meeting, Plaintiff was given a choice between a salary increase and alternative compensation—and chose alternative compensation. (See id., No. 58.) Accordingly, no specific salary increase was ever discussed. (See id., No. 58.) He did not forego other job opportunities, make any financial decisions, or take any steps—i.e. investments, loans, or major purchases—in reliance on the alleged promise. (See id., No. 59.)

Despite never receiving any equity agreement over twenty-one months, Plaintiff never threatened to resign or demanded a written agreement as a condition of continued employment. (See id., Nos. 60–63.) On June 30, 2023, Plaintiff voluntarily resigned. His one-sentence resignation letter states: “Please accept this letter as my formal resignation from my position as Vice President of Technology at Pure Imagination Studios, effective June 30, 2023.” It makes no mention of equity, pay, expenses, or any grievance. (See id., Nos. 65–67.) Wexler first learned of Plaintiff’s claims from the Complaint in this lawsuit. (See id., No. 68.)

Plaintiff cannot quantify his alleged damages. He does not know the value of any defendant entity and testified he has “no way to value the amount of equity that [he] lost.” (See id., No. 75.) Nor can he even identify the equity he was allegedly promised. His SAC alleged a 20% equity stake, while his interrogatory responses stated 3.33% (See id., No. 76)—a figure he described as an “unsaid assumption” based on an alleged statement by Tucker that Plaintiff and two other employees would likely split a 10% pool. (See id., Nos. 77–78.) Plaintiff testified Tucker never specified how the pool would be divided among the three individuals and the equal-thirds figure was based on “nothing more than assumptions.” (See id., Nos. 79– 81.) Wexler attests the Board never approved the issuance of membership units to Plaintiff. (See id., No. 82.)

Plaintiff confirmed both Wexler and Tucker were “acting in their executive capacity” “[t]o offer [Plaintiff] a position in one of the entities.” (See id., No. 84.) The equity Plaintiff seeks is in the company, not Wexler’s personal assets (See id., No. 85), and all salary and reimbursements were paid by Pure Studios, not Wexler personally (See id., No. 86). Wexler never signed a personal guarantee or represented he would personally provide equity or compensation. (See id., No. 87.)

Plaintiff

admits he submitted expenses for reimbursement during his employment and that he received substantial reimbursements. (See id., No. 88-91.) At deposition, Plaintiff was unable to identify any specific submitted expense that Defendants failed to reimburse. Plaintiff could not state, for any allegedly unreimbursed expense, the date submitted, the recipient, the vendor, the item purchased, or the business purpose. (See id., Nos. 92, 94.) Plaintiff has no receipts of any allegedly unreimbursed business expenses. (See id., No. 93.) In response to Defendants' Request for Production of Documents, Set One, Plaintiff produced a single document in support of his § 2802 claim: an undated, self-created Excel spreadsheet listing alleged expenses. (See id., No. 95.) The spreadsheet was not generated from contemporaneous expense reports, receipts, or paystubs; the spreadsheet does not identify the business purpose of any listed expense, and Plaintiff could not identify the business purpose any listed expense. (See id., Nos. 96-97.) The expense spreadsheet does not list vendors, and Plaintiff could not identify the vendors associated with any listed expense. (See id., No. 98.) The spreadsheet lacks verifiable dates, Plaintiff could not identify the dates associated with any listed expense, and he could not say with certainty particular charges were not personal. (See id., Nos. 99-100.) Plaintiff testified his per diem claim is based on a list of travel days he himself created. Plaintiff didn't produce any contemporaneous submission documenting these travel days, their destinations, or their business purpose. (See id., No. 101.)

Plaintiff

testified he "didn't have an expectation that they were actually going to pay ... any salary increase." Plaintiff further testified the "\$59,000 to \$69,000 for unpaid pay increases" alleged in his pleading referred to discretionary bonuses—not a salary increase—and the "expected pay" amount "was never reduced to paper." (See id., No. 102.)

B.

Moving Defendants' Motion for Summary

Judgment is Granted.

1.

Breach of Contract

The SAC's

breach of contract claim alleges all Defendants failed to provide Plaintiff with (1) a salary increase, (2) equity in Pure Holdings, and (3) reimburse him for his work-related expenses. (See SAC ¶¶ 37, 39.)

First, Defendants

argue they are entitled to summary adjudication on the breach of contract claim because enforcement of rights to corporate equity is governed by Delaware law pursuant to the internal affairs doctrine. (See Mot. at 13:24-26.)

Defendants argue under Delaware law, an oral promise of equity that is unapproved by the board and not memorialized in writing is unenforceable. (See id., at 7:17-18, citing 8 Del. Code § 157(a).) Defendants submit evidence showing none of the requirements for issuing equity under Pure Holding's 2019 Operating Agreement was satisfied. (See id., at 15:2-3.) The 2019 Operating Agreement provides: any transfer of equity requires Board approval (UMF Nos. 16, 20); a duly convened meeting with quorum or written consent with no authorization for oral Board action (see id., No. 18); and execution of written instruments by the recipient (see id., No. 19). The 2019 Operating Agreement provides any attempt to transfer Units without Board authorization is "null and void and of no effect whatsoever." (See id., No. 16.) Defendants also submit the declaration of Wexler, who attests "At no time during Plaintiff's employment did the Board of Managers approve the issuance of membership units to Plaintiff. No Board resolution was passed, no written consent was obtained, and no written instrument granting Plaintiff an interest in PI Holdings was executed. PI Holdings' Board never authorized any Manager or Officer to offer or transfer membership units to Plaintiff. Exhibit A to the Operating Agreement was never amended to include Plaintiff as a Member." (Id., No. 46.)

Defendants

additionally submit Plaintiff's deposition testimony in which he referred to the equity discussion as a "handshake deal" that was expected to be followed by a "paper deal," and that equity could not be transferred without signed documentation. (See id., No. 38.) Plaintiff further attested he never signed a written agreement containing an equity provision and that he does not know whether any board approved his equity. (See id., Nos. 36, 40.)

Second,

Defendants argue even under California law, no enforceable contract exists because the alleged agreement lacks every material term necessary for a binding agreement. (See Mot., at 16:2-3.) Defendants submit Plaintiff's testimony

in which Plaintiff testified during the September 2021 Meeting, no specific equity percentage was agreed upon (see id., No. 30), no entity was identified (see id., No. 31), no vesting schedule, conditions, voting rights, or other terms were discussed (see id., Nos. 33–35), and Plaintiff described the discussions as “[n]othing gran[ular] or specific, just very overarching and...generalized” (see id., No. 43.) Defendants contend this evidence established at most preliminary discussions which required further execution of documentation and Board approval; accordingly, they were not the functional equivalent of an agreement. (See Mot. at 17:2-4.)

Defendants

argue Plaintiff’s salary increase theory cannot support his breach of contract claim because there was no enforceable oral contract for a salary increase. (See Mot. at 17:2-4, fn. 3.) Defendants submit Plaintiff’s deposition testimony in which he testified he was given a choice between a salary increase and equity and chose equity. (See UMF No. 58.) Accordingly, no specific salary increase was discussed as part of his employment. (See id.) Plaintiff conceded he “didn’t have an expectation that they were actually going to pay...any salary increase.” (See id., No. 102.) Plaintiff testified the alleged unpaid pay increases referred to discretionary bonuses, not a salary increase, and the “expected pay” amount “was never reduced to paper.” (See id.)

Defendants

argue Plaintiff’s unpaid reimbursements theory cannot support his breach of contract claim because Plaintiff cannot identify a single specific expense he submitted which Defendants failed to reimburse. (See Mot. at 23:4-5.) Defendants submit Plaintiff’s deposition testimony in which he attests he doesn’t have evidence of what receipts were not reimbursed to him. (See UMF No. 92.) Plaintiff only proffers a self-created excel spreadsheet listing alleged expenses but doesn’t distinguish between personal or business expenses. (See id., Nos. 95, 100.) Defendants also submit the declaration of Dee Ford, Pure Studios’ Controller. (See id., No. 94.) Ford’s responsibilities include reviewing and approving employee reimbursement requests. (See id.) Ford attests “Plaintiff [who was employed by Pure Studios] was reimbursed for all necessary business-related expenses during his employment that were properly submitted through Harvest [a third-party vendor that Pure Studios utilizes to process reimbursements] and complied with the Policy. My records do not reflect any outstanding or unresolved reimbursement submissions from Plaintiff.” (Id., Nos. 25, 94.)

Based on the foregoing undisputed material facts, the Court finds Defendants meet their burden entitling them to summary adjudication on all three theories supporting Plaintiff's breach of contract claim.

First, as to the equity theory, Defendant's evidence shows none of the requirements governing the transfer of equity to shareholders under the 2019 Operating Agreement were satisfied as to Plaintiff. "The internal affairs doctrine is a conflict of laws principle which recognizes that only one State should have the authority to regulate a corporation's internal affairs—matters peculiar to the relationships among or between the corporation and its current officers, directors, and shareholders—because otherwise a corporation could be faced with conflicting demands.' [Citation.]" (Villari v. Mozilo (2012) 208 Cal.App.4th 1470, 1477, fn. 8.) The issue here, of whether there existed a contract providing Plaintiff with equity in Pure Holdings, is within the scope of the internal affairs doctrine as issuing and authorizing equity are core internal functions that define the legal relationship between the corporation, its management, and its stockholders. "The first step when analyzing a case involving the internal affairs of an LLC is ... to examine the LLC agreement to determine whether it addresses the issue. If the agreement covers the issue, the agreement controls unless it violates one of the Act's mandatory provisions." (In re Coinmint, LLC (Del. Ch. 2021) 261 A.3d 867, 900.) Defendants' evidence shows there was never any Board approval or compliance with the 2019 Operating Agreement for transferring equity to Plaintiff, and thus, any alleged oral contract cannot support a claim for breach of contract.

Second, as to the pay increase theory, Defendants' evidence shows Plaintiff testified when given a choice between equity or a pay increase, he testified he would receive equity. Thus, this evidence shows a pay increase was not part of Plaintiff's employment contract at the outset.

Third, as to the reimbursements theory, Defendants' evidence shows Defendants reimbursed Plaintiff for all qualifying expenses and no outstanding reimbursements remain in their system. Thus, Defendants meet their burden on all theories of Plaintiff's breach of contract claim and the burden shifts to Plaintiff to raise a triable issue. There being no opposition, Plaintiff fails to do so. Thus,

the Court grants Defendants' Motion as to the first cause of action for breach of contract.

2.

Actionable Deceit – Civil Code § 1709; Fraud

in Contract Formation – Civil Code § 1572; and Intentional Misrepresentation – Civil Code § 1710

The SAC's fraud

claims allege that in exchange for Plaintiff assuming the role of Vice President of Technology, Defendants would provide Plaintiff with (1) a salary increase, (2) equity in Pure Holdings, and (3) reimbursement for his work-related expenses. (See SAC ¶¶ 20, 42, 48, 53.)

"One who

willfully deceives another with intent to induce him to alter his position to his injury or risk, is liable for any damage which he thereby suffers." (Civ. Code § 1709.)[2]

"Actual

fraud, within the meaning of this Chapter, consists in any of the following acts, committed by a party to the contract, or with his connivance, with intent to deceive another party thereto, or to induce him to enter into the contract:

1. The

suggestion, as a fact, of that which is not true, by one who does not believe it to be true;

2. The

positive assertion, in a manner not warranted by the information of the person making it, of that which is not true, though he believes it to be true;

3. The

suppression of that which is true, by one having knowledge or belief of the fact;

4. A promise

made without any intention of performing it; or,

5. Any other

act fitted to deceive.” (Civ. Code § 1572.)

“The elements

of fraud, which give rise to the tort action for deceit, are (1) a misrepresentation, (2) with knowledge of its falsity, (3) with the intent to induce another’s reliance on the misrepresentation, (4) justifiable reliance, and (5) resulting damage.” (Conroy v.

Regents of Univ. of Cal. (2009) 45 Cal.4th 1244, 1255; Garamendi v. Golden Eagle Ins. Co. (2005) 128 Cal.App.4th 452, 470 [stating elements of fraud as the elements for fraudulent inducement to an employment contract].)

“[I]n a

promissory fraud action, to sufficiently allege defendant made a misrepresentation, the complaint must allege (1) the defendant made a representation of intent to perform some future action, i.e., the defendant made a promise, and (2) the defendant did not really have that intent at the time that the promise was made, i.e., the promise was false. To sufficiently plead the first requirement, that the defendant made a promise, the complaint must state facts which show how, when, where, to whom, and by what means the representations were tendered. As for the second requirement, the falsity of that promise is sufficiently pled with a general allegation the promise was made without an intention of performance.” (Beckwith v. Dahl (2012) 205 Cal.App.4th 1039, 1060 (cleaned up, emphasis in original).)

Defendants

argue Plaintiff cannot establish the requisite elements for his fraud claims, including an actionable misrepresentation or damages, with respect to his equity theory. (See Mot. at 18:12-14.) Relying on the same evidence set forth above—Plaintiff’s testimony that during the September 2021 Meeting, no specific equity percentage was agreed upon (see id., No. 30), no entity was identified (see id., No. 31), no vesting schedule, conditions, voting rights, or other terms were discussed (see id., Nos. 33–35), and Plaintiff’s description of the equity discussions as “[n]othing gran[ular] or specific, just very overarching and...generalized” (see id., No. 43)—Defendants contend there was no definite promise or representation of an equity agreement favoring Plaintiff.

As to detrimental

reliance and/or damages, Defendants argue even if the equity discussions during the September 2021 Meeting could be construed as a definite promise, Plaintiff cannot

establish non-speculative damages. (See Mot. at 21:7.) Defendants submit evidence showing Plaintiff continued his employment and was fully compensated at his base salary. (See UMF Nos. 54-56.) Defendants also submit evidence showing Plaintiff cannot establish the alleged equity he lost, as he cannot quantify the equity he was allegedly promised. Defendants submit Plaintiff's deposition testimony in which he attests the co-founder Andrew Tucker, now deceased, informed him that a 10% pool would be "split up between" three individuals but did not specify how that 10% would be divided. (See id., Nos. 79-80.) Plaintiff testified he assumed it would be equally split so each individual would receive 3.33%. (See id., Nos. 77-78.)

Based on

these undisputed material facts, Defendants meet their burden as to each of the three theories supporting Plaintiff's fraud claims.

First, Defendants

meet their burden as to the salary increase theory supporting each fraud claim. As set forth above, Defendants' evidence shows a pay increase was not part of Plaintiff's employment contract as he elected to receive equity over increased pay. Thus, Defendants have shown Plaintiff cannot establish any element of fraud for a condition Plaintiff elected to forego at the outset of his employment as Vice President of Technology.

Second, Defendants

meet their burden as to the failure to reimburse theory. As discussed above, their evidence shows they reimbursed Plaintiff for the expenses he properly submitted to Pure Studios' system for processing reimbursements. Defendants' evidence also shows Plaintiff attested he does not have evidence of what receipts were not reimbursed to him. Thus, this evidence negates the intent to defraud element, as Defendants complied with their reimbursement requirement, and the damages element, as Plaintiff cannot establish expenses weren't reimbursed to him.

Third,

Defendants meet their burden as to the equity theory. Defendants' evidence shows there was no misrepresentation as the September 2021 Meeting did not discuss any equity percentage Plaintiff would receive, which equity Plaintiff would receive in, or what conditions or voting rights corresponded to any equity issued to Plaintiff. Additionally, this same evidence is sufficient to negate the damages element as this evidence shows Plaintiff cannot quantify any

equity loss.

Thus,

Defendants meet their burden on Plaintiff's fraud claims. There being no opposition, Plaintiff fails to meet their burden. Accordingly, the Court GRANTS Defendants' Motion for Summary Adjudication as to the Second, Third, and Fourth Causes of Action for Fraud Pursuant to Civil Code §§ 1709, 1572, and 1710.

3.

Breach of Covenant of Good Faith and
Fair Dealing

The SAC's breach

of the implied covenant of good faith and fair dealing claim alleges Defendants prevented Plaintiff from receiving (1) a salary increase, (2) equity in Pure Holdings, and (3) reimbursement for his work-related expenses. (See SAC ¶¶ 59-60.)

The elements

for breach of implied covenant of good faith and fair dealing are (1) existence of a contractual relationship between the parties, (2) implied duty, (3) breach, and (4) causation. (See e.g., *Smith v. San Francisco* (1990) 225 Cal.App.3d 38, 49.)

"A breach of

the implied covenant of good faith and fair dealing involves something beyond breach of the contractual duty itself and it has been held that bad faith implies unfair dealing rather than mistaken judgment...." (*Careau & Co. v. Security Pacific Business Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1394 [internal quotations and citation thereto omitted].) "If the allegations do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated ... [T]he only justification for asserting a separate cause of action for breach of the implied covenant is to obtain a tort recovery." (*Id.*, *Careau & Co.*, 222 Cal.App.3d at 1395; see also *Guz v. Bechtel Nat. Inc.* (2000) 24 Cal.4th 317, 352 [holding, on summary judgment, that where breach of an actual term is alleged, a separate implied covenant claim, based on the same breach, is superfluous].)

Defendants

argue this claim is derivative and fails because there is no underlying contract. (See Mot. at 24:15-17.)

Defendants

meet their burden as to the salary increase and equity theories supporting the seventh cause of action. Defendants rely on the same evidence set forth above concerning Plaintiff's alleged salary increase and equity promises.

Additionally, Defendants submit the declaration of Wexler, who attests at no time during Plaintiff's employment did there exist a contract containing provisions for a salary increase or equity in any Pure Holdings entity. (See UMF No. 27.) Thus, the salary increase and equity theories cannot support a claim for breach of the implied covenant of good faith and fair dealing, as the covenant can't impose duties beyond the contract's express terms.

As to the failure

to reimburse theory, this claim is superfluous. The breach of implied covenant of good faith and fair dealing relies on the same alleged failure to reimburse Plaintiff's expenses and seeks the same relief already claimed in Plaintiff's companion contract cause of action.

Thus, the

Court finds Defendants meet their burden. There being no opposition, Plaintiff fails to raise a triable issue. Thus, the Court grants Defendants' Motion as to the seventh cause of action for breach of the implied covenant of good faith and fair dealing.

4.

Unjust Enrichment/Restitution

The SAC's

unjust enrichment claim alleges despite Plaintiff contributing to growing the value of the corporate Defendants, he was not given: (1) a salary increase, (2) equity in Pure Holdings, and (3) reimbursement for his work-related expenses. (See SAC, ¶ 64-65.)

In

California, there is no cause of action for unjust enrichment. (See *Rutherford Holdings LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 231; *Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138.) "[T]here

is no cause of action in California for unjust enrichment. 'The phrase "Unjust Enrichment" does not describe a theory of recovery, but an effect: the result of a failure to make restitution under circumstances where it is equitable to do so.' Unjust enrichment is 'a general principle, underlying various legal doctrines and remedies,' rather than a remedy itself." (Melchior v. New Line Prods., Inc. (2003) 106 Cal.App.4th 779, 793.)

Defendants argue

this claim fails as there is no cause of action for unjust enrichment and it is duplicative of his other claims. (See Mot. at 25:2-3.) Defendants also argue the claim fails on the merits as the evidence shows Plaintiff was fully compensated for his employee services. (See UMF Nos. 54-57.)

The Court

finds Defendants are entitled to summary adjudication on this claim, as it is not a cause of action and is duplicative of Plaintiff's other claims. Further, Defendants' evidence, as discussed above, shows there are no triable issues as to Plaintiff's theories for a salary increase, equity, or reimbursement. Thus, the Court GRANTS Defendants' Motion as to the sixth cause of action for unjust enrichment.

5.

Reasonable Attorney's Fees as Per Labor
Code § 2802

"The elements

of a section 2802, subdivision (a) cause of action, as delineated by the statutory language, are: (1) the employee made expenditures or incurred losses; (2) the expenditures or losses were incurred in direct consequence of the employee's discharge of his or her duties, or obedience to the directions of the employer; and (3) the expenditures or losses were necessary." (Cassady v. Morgan, Lewis & Bockius LLP (2006) 145 Cal.App.4th 220, 230.) "[B]efore an employer's duty to reimburse is triggered, it must either know or have reason to know that the employee has incurred an expense. Once the employer has such knowledge, then it has the duty to exercise due diligence and take any and all reasonable steps to ensure that the employee is paid for the expense." (Wilson v. La Jolla Group (2021) 61 Cal.App.5th 897, 919.) Section 2802 provides "[a]n employer shall indemnify his or her employee for all necessary expenditures or losses incurred by the employee in direct consequence of the discharge of his or her duties" and allows for recovery of attorney's fees incurred in enforcing the rights

granted by this section. (Cassady, 145 Cal.App.4th at 230.)

Defendants

argue Plaintiff cannot satisfy any element of this claim. As discussed above, Defendants submit evidence showing Pure Studios' Controller confirmed that, absent reimbursement submissions through Harvest, Pure Studios would have no knowledge an employee had incurred business-related expenses. (See UMF No. 90.) Ford also attested her contemporaneous Harvest reports confirm Plaintiff was reimbursed for all necessary business-related expenses that were properly submitted. (See *id.*, No. 91.) Defendants also submit evidence showing Plaintiff's is unable to identify any specific unreimbursed expense. (See *id.*, No. 92, 101.)

The Court

finds Defendants meet their burden on Plaintiff's Labor Code § 2802 claim. Defendants' evidence shows they reimbursed Plaintiff for all properly submitted expenses and as a result, Plaintiff cannot establish the first element, or any outstanding expenditure. There being no opposition, Plaintiff fails to meet his burden to raise a triable issue of fact.

Accordingly,

the Court grants Defendants' Motion on the seventh cause of action for reasonable attorney's fees as per Labor Code § 2802.

6.

Wexler's Individual Liability

The SAC's

claims against Wexler are based on piercing the corporate veil theory. (See SAC, ¶ 16.)

The corporate

veil may be pierced "where an abuse of the corporate privilege justifies holding the equitable ownership of a corporation liable for the actions of the corporation." (Sonora Diamond Corp. v Superior Court (2000) 83 Cal.App.4th 523, 538.) "Under the alter ego doctrine, . . . when the corporate form is used to . . . accomplish some [] wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation's acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners." (*Id.*)

Defendants meet

their burden on the claims asserted against Wexler in his individual capacity. Because Defendants' evidence above shows there are no undisputed issues as to the corporate Defendants' liability, Defendants' evidence also shows there are no triable issues as to Wexler's derivative liability under a veil-piercing theory. Accordingly, the Court grants Defendants' Motion as to all claims asserted against Wexler in his individual capacity.

In sum, the

Court GRANTS Defendants' Motion for Summary Judgement.

V.

CONCLUSION

Based on the

foregoing, the Court GRANTS Defendants' Motion for Summary Judgment.

IT

IS SO ORDERED.

DATED: August 4, 2026

Hon. Michael R. Amerian

Judge,

Superior Court

[1] All statutory references

are to California codes unless stated otherwise.

[2] "A deceit, within the

meaning of the last section, is either: 1. The suggestion, as a fact, of that which is not true, by one who does not believe it to be true; 2. The assertion, as a fact, of that which is not true, by one who has no reasonable ground for believing it to be true; 3. The suppression of a fact, by one who is bound to disclose it, or who gives information of other facts which are likely to mislead for want of communication of that fact; or, 4. A promise, made without any intention of performing it." (Civ. Code. § 1710.)